

15-4a A Parable about Pricing

To understand why a monopolist would price discriminate, let's consider an example. Imagine that you are the president of Readalot Publishing Company. Readalot's best-selling author has just written a new novel. To keep things simple, let's imagine that you pay the author a flat **\$2 million** for the exclusive rights to publish the book. Let's also assume that the cost of printing the book is zero (as it would be, for example, for an e-book). Readalot's profit, therefore, is the revenue from selling the book minus the **\$2 million** it has paid to the author. Given these assumptions, how would you, as Readalot's president, decide the book's price?

Your first step is to estimate the demand for the book. Readalot's marketing department tells you that the book will attract two types of readers. The book will appeal to the author's **100,000** die-hard fans who are willing to pay as much as **\$30**. In addition, it will appeal to about **400,000** less enthusiastic readers who will pay up to **\$5**.

If Readalot charges a single price to all customers, what price maximizes profit? There are two natural prices to consider: **\$30** is the highest price Readalot can charge and still get the **100,000** die-hard fans, and **\$5** is the highest price it can charge and still get the entire market of **500,000** potential readers. Solving Readalot's problem is a matter of simple arithmetic. At a price of **\$30**, Readalot sells **100,000** copies, has revenue of **\$3 million**, and makes profit of **\$1 million**. At a price of **\$5**, it sells **500,000** copies, has revenue of **\$2.5 million**, and makes profit of **\$500,000**. Thus, Readalot maximizes profit by charging **\$30** and forgoing the opportunity to sell to the **400,000** less enthusiastic readers.

Notice that Readalot's decision causes a deadweight loss. There are **400,000** readers willing to pay **\$5** for the book, and the marginal cost of providing it to them is zero. Thus, **\$2 million** of total surplus is lost when Readalot charges the higher price. This deadweight loss is the inefficiency that arises whenever a monopolist charges a price above marginal cost.

Now suppose that Readalot's marketing department makes a discovery: These two groups of readers are in separate markets. The die-hard fans live in Australia, and the other readers live in the United States. Moreover, it is hard for readers in one country to buy books in the other.

In response to this discovery, Readalot can change its marketing strategy and increase profits. To the **100,000** Australian readers, it can charge **\$30** for the book. To the **400,000** American readers, it can charge **\$5** for the book. In this case, revenue is **\$3 million** in Australia and **\$2 million** in the United States, for a total of **\$5 million**. Profit is then **\$3 million**, which is substantially greater than the **\$1 million** the company could earn charging the same

\$30 price to all customers. Not surprisingly, Readalot chooses to follow this strategy of price discrimination.

The story of Readalot Publishing is hypothetical, but it describes the business practice of many publishing companies. Consider the price differential between hardcover books and paperbacks. When a publisher has a new novel, it initially releases an expensive hardcover edition and later releases a cheaper paperback edition. The difference in price between these two editions far exceeds the difference in printing costs. The publisher is price discriminating by selling the hardcover to die-hard fans and the paperback to less enthusiastic readers, thereby increasing its profit.

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